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CARIBBEAN EXAMINATIONS COUNCIL
CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

MANAGEMENT OF BUSINESS

UNIT 1 – Paper 02

2 hours 30 minutes

15 MAY 2013 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from **EACH** section.
4. Begin **EACH** question on a separate page.
5. Each question is worth **25 marks**.

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02133020/CAPE 2013



SECTION A

MODULE 1: BUSINESS AND ITS ENVIRONMENT

Answer ONE question from this section.

1. Miss Cookwell is contemplating converting her mobile canteen into a full fast-food restaurant. She is uncertain as to whether to maintain the sole proprietorship or go into a partnership with her two friends – Sally, a chartered accountant and Debbie, a qualified chef.

- (a) Outline THREE essential provisions that the partners could include in their partnership deed. [9 marks]
- (b) Discuss TWO advantages and TWO disadvantages Miss Cookwell may experience if she converts her business from a sole proprietorship to a partnership with her friends. [16 marks]

Total 25 marks

2. XYZ Co Ltd, a firm specializing in the manufacturing of chemicals, has reviewed its mission statement to include corporate social responsibility as part of the company's new mission.

- (a) Define the term 'mission statement' and state THREE reasons why it is important for XYZ Co Ltd to have a mission statement. [8 marks]
- (b)
 - (i) Define the term 'social responsibility' as it relates to businesses. [2 marks]
 - (ii) Outline THREE ways in which XYZ Co Ltd can demonstrate social responsibility. [6 marks]
 - (iii) Explain THREE reasons why it is important for XYZ Co Ltd to include social responsibility in its mission statement. [9 marks]

Total 25 marks

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SECTION B

MODULE 2: MANAGEMENT OF PEOPLE

Answer ONE question from this section.

- 3.** Abraham Maslow developed the 'Hierarchy of Needs' Theory of Motivation.
- (a) Identify FIVE main levels of Maslow's Hierarchy of Needs and explain how EACH level operates. **[15 marks]**
 - (b) Outline ONE action that managers can take to motivate workers at EACH level of the hierarchy. **[10 marks]**
- Total 25 marks**
- 4.** Kem-k company is located in a Caribbean island and is involved in the manufacturing of hazardous chemicals. The CEO has decided to put together a team of three managers and other staff to plan for the safety of the company in the event of a natural disaster in the country.
- (a) Differentiate between a 'team' and a 'group'. **[3 marks]**
 - (b) Outline the FIVE stages in the development of a group. **[10 marks]**
 - (c) Discuss THREE characteristics that the team selected must display in order to carry out its task effectively. **[12 marks]**
- Total 25 marks**

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SECTION C

MODULE 3: BUSINESS FINANCE AND ACCOUNTING

Answer ONE question from this section.

5. Sugarary Producers Ltd, a small business engaged in sugar cultivation, is experiencing cash flow management problems.

- (a) The table below shows the budgeted and actual results for Sugarary Producers' overheads.

Sugarary Producers Ltd

Departments	Budget (US \$)	Actual (US \$)	Variance (US \$)
Production	300 000	240 000	
Human Resources	120 000	140 000	
Marketing	480 000	560 000	

- (i) Define the term 'variance'. **[2 marks]**
- (ii) Calculate the variances for EACH department at Sugarary Producers Ltd. **[3 marks]**
- (iii) State what EACH variance, calculated in (a) (ii) above, indicates about the performance of the company. **[3 marks]**
- (b) (i) Define the term 'budget'. **[2 marks]**
- (ii) State THREE reasons why it is important for Sugarary Producers to construct a budget. **[3 marks]**
- (c) Discuss THREE options that can be considered in order to improve the company's cash flow management. **[12 marks]**

Total 25 marks

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6. The following are the financial statements of General Hardware Ltd for the year ended 30 June 2012.

Income Statement for the Year Ended 30 June 2012

	\$	\$
Sales		48 000
Opening stock	10 800	
Purchases	<u>36 000</u>	
	46 800	
Closing stock	<u>8 400</u>	
		<u>38 400</u>
Gross profit		9 600
Expenses		<u>1 600</u>
Net profit		<u><u>8 000</u></u>

Balance Sheet as at 30 June 2012

	\$		\$
Fixed Assets	32 000	Opening capital	32 000
Stock	8 400	Net profit	<u>8 000</u>
Debtors	12 000		40 000
Bank	<u>6 600</u>	Drawings	<u>1 200</u>
	<u><u>59 000</u></u>		38 800
		Loans	<u>14 000</u>
			52 800
		Creditors	3 200
		Accrued expenses	<u>3 000</u>
			<u><u>59 000</u></u>

- (a) Compute, to one decimal place, the following ratios for the year ended 30 June 2012.
- (i) Net Profit Margin
 - (ii) Acid Test Ratio
 - (iii) Current Ratio
 - (iv) Stock Turnover
 - (v) Long-term Debt to Equity [15 marks]
- (b) Explain what EACH ratio demonstrates about the performance of General Hardware Ltd. [10 marks]

Total 25 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.